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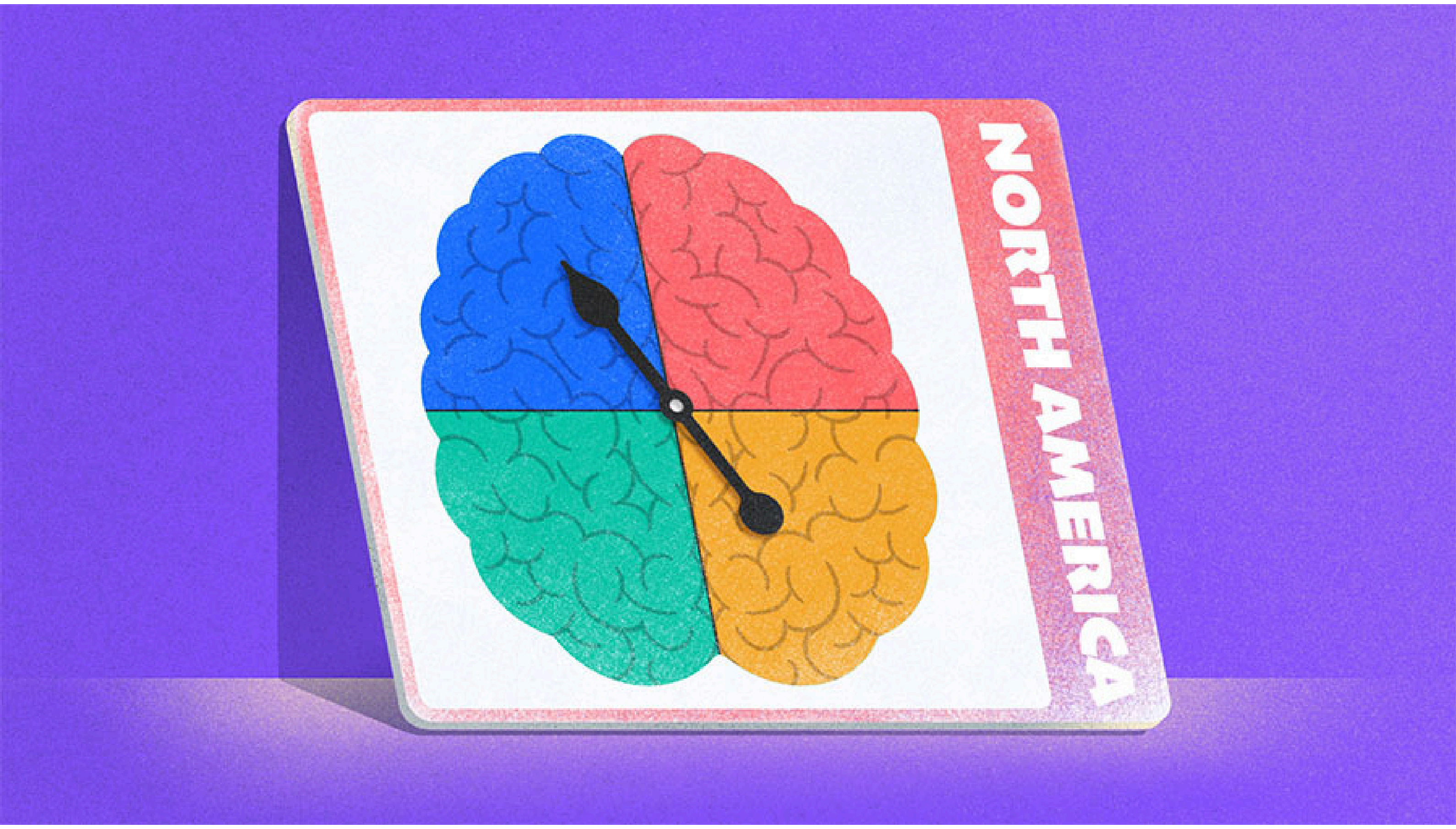
North America Venture Funding Surged In First Half Of Year As Q2 Held Strong

Joanna Glasner July 9, 2025



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Funding to North American startups surged in the first half of 2025, fueled by investor enthusiasm around artificial intelligence.

Overall, investors poured $145 billion into seed through growth-stage rounds for U.S. and Canadian companies in the first six months of the year, per Crunchbase data. That's a 43% gain year over year, and the highest half-year total in three years.

Total investment in the second quarter, meanwhile, was down sequentially due to a drop in late-stage financing. However, we did see a rise in seed and early-stage funding, as charted below.

We also saw the pace of dealmaking slow a bit in Q2. Deal counts were down quarter over quarter at seed, early stage and late stage, as shown below.

Once again, enormous rounds for generative AI companies were the main reason investment totals held high. In Q2, that included Meta's $14.3 billion June investment in Scale AI, the second-largest round of the year after SoftBank's record-breaking $40 billion March financing for OpenAI.

In addition to vast sums going into startups, the second quarter was also a robust period for exits. This included high-valuation IPOs from Circle and Chime, as well as multiple acquisitions for $1 billion or more.

Below, we take a closer look at investment activity by stage and review some of the larger exits.

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Late stage and technology growth

Late stage attracts the most money, so we'll start there.

For the second quarter, investors put $41.5 billion into later-stage and technology growth investments, which is the third-highest quarterly total in three years.

Round counts also held high, with an estimated 239 later-stage and tech growth deals in Q2. That equates to the second-highest tally of the past five quarters.

A handful of megadeals pushed the investment totals up, led by Meta's Scale AI investment, a strategic and financial deal that includes founder Alexandr Wang joining the social media giant.

Other big deals included a $2.5 billion Series G for defense tech unicorn Anduril, a $2 billion financing for GenAI startup Safe Superintelligence, and a $900 million Series C for AI coding company Anysphere.

Also noteworthy: We did see a sequential dip after Q1. However, that was to be expected in the quarter following OpenAI's unprecedented $40 billion financing.

Early stage

Early-stage investment also held up at historically high levels in Q2.

In total, investors put $14.3 billion into early-stage companies, roughly flat with the prior quarter. Round counts ticked up a bit, though, hitting the highest point in four quarters.

As usual, a few particularly large rounds contributed heavily to the Q2 early-stage funding totals. Standouts include a $200 million Series B for residential battery provider Base Power, a $186 million Series A for green steel producer Electra, and a $177 million Series A for drug developer Antares Therapeutics.

Seed

Across all stages, seed investment saw the biggest spike in Q2. That was entirely due to a single round — the $2 billion financing for Thinking Machines Lab, the AI startup led by former OpenAI CTO Mira Murati.

Including that round, seed investment for the quarter totaled $5.9 billion, the highest level in three years, as charted below.

While funding was up, seed-stage deal counts fell a bit in Q2, based on preliminary data. We expect that total to rise some over time, however, as it's common for some seed-stage deals to be added to our dataset weeks or months after they close.

The median seed-stage financing was around $3 million last quarter, although we did see some deals that were much bigger. Besides Thinking Machines, larger ones this past quarter included a $100 million seed round for AI model tester LMArena, and a $77 million initial financing for aerospace and defense startup Amca.

AI

Given the dominant role of AI startups in attracting venture funding, we've also been breaking out the share of investment going to this area.

For Q2, North America's AI-related startups pulled in $34.5 billion in total funding, showing continued heavy investor appetite for the space. While down from Q1, which had the massive OpenAI financing, it's still an impressive sum and the third-highest quarterly total to date.

Exits

The second quarter was also a fairly happening period for startup exits, including both IPOs and M&A deals.

IPOs

On the IPO front, the highlights for Q2 were the debuts of two heavily funded fintech unicorns: stablecoin pioneer Circle and digital banking provider Chime.

Of the two, Circle made the biggest splash on public markets. The New York-based company priced IPO shares well above the projected range and saw its stock increase severalfold from there. Its recent market cap was over $50 billion.

Chime has also performed well. Shares are still trading above the IPO price, and the San Francisco company had a recent market cap of more than $11 billion.

Other venture-backed companies that made their debuts last quarter included Hinge Health, Slide Insurance and Voyager Technologies.

M&A

Acquisition activity was also pretty lively in the just-ended quarter, with multiple big-ticket deals announced.

In the AI arena, one of the buzziest was OpenAI's purchase of Io, the device startup co-founded by famed Apple product designer Jony Ive, for a reported $6.5 billion. OpenAI also snapped up AI coding startup Windsurf for a reported $3 billion.

Other large deals included Xero's purchase of Melio for a reported $2.5 billion, and Abbvie's purchase of Capstan Therapeutics for up to $2.1 billion.

An upbeat quarter and a strong half

Overall, most of the metrics we looked at for this past quarter and the first half of the year point to an upbeat funding scene and a receptive environment for startup exits. It's especially encouraging to see the IPO window opening up after a long dry spell. And with Figma expected to make its debut in coming weeks, the parade of closely watched unicorn IPOs looks far from over.

So what could go wrong to dampen this rosy picture in coming months? Certainly there's plenty of risk factors, including a broader market pullback. For now, however, it looks like a bullish period in startup-land, particularly for those with compelling AI use cases.

Methodology

The data contained in this report comes directly from Crunchbase, and is based on reported data. Provisional data reported is as of July 3, 2025.

Note that data lags are most pronounced at the earliest stages of venture activity, with seed funding amounts increasing significantly after the end of a quarter/year.

Please note that all funding values are given in U.S. dollars unless otherwise noted.

Crunchbase converts foreign currencies to U.S. dollars at the prevailing spot rate from the date funding rounds, acquisitions, IPOs and other financial events are reported. Even if those events were added to Crunchbase long after the event was announced, foreign currency transactions are converted at the historic spot price.

Glossary of funding terms

Seed and angel consists of seed, pre-seed and angel rounds. Crunchbase also includes venture rounds of unknown series, equity crowdfunding and convertible notes at $3 million (USD or as-converted USD equivalent) or less.

Early-stage consists of Series A and Series B rounds, as well as other round types. Crunchbase includes venture rounds of unknown series, corporate venture and other rounds above $3 million, and those less than or equal to $15 million.

Late-stage consists of Series C, Series D, Series E and later-lettered venture rounds following the "Series [Letter]" naming convention. Also included are venture rounds of unknown series, corporate venture and other rounds above $15 million. Corporate rounds are only included if a company has raised an equity funding at seed through a venture series funding round.

Technology growth is a private-equity round raised by a company that has previously raised a "venture" round. (So basically, any round from the previously defined stages.)

Illustration: Dom Guzman

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